

Simulation-Based Inference

Exercise 5

NOTE: *The solution of this exercise will be discussed in the tutorial session on 08.06.2026 along with next week's exercises.*

Exercise 5.1: Simple Markov Chains

- a) Approximate the stable distribution of a Markov Chain on a discrete space with three states $(1, 2, 3)$, initial distribution $p_0 = (0.1, 0.7, 0.2)$ and transition matrix

$$Q = \begin{pmatrix} 0.4 & 0 & 0.6 \\ 0.3 & 0.2 & 0.5 \\ 0.1 & 0.1 & 0.8 \end{pmatrix}.$$

Make sure to use a sufficiently long warmup phase and to obtain at least 1000 post-warmup samples.

- b) Suppose you would have chosen the initial distribution differently as $p_0 = (0.1, 0.2, 0.7)$. Now that you have seen the stable distribution in (a), would you expect slower or faster convergence with the new initial distribution? Justify your answer.

Exercise 5.2: Metropolis Algorithm

Consider a simple Bayesian model where our goal is to estimate the mean of a total of N conditionally independent observations $y_1, \dots, y_N$.

We assume a normal likelihood

$$y_i \sim \text{normal}(\theta, 10) = p(y_i \mid \theta)$$

and a flat prior

$$p(\theta) = \text{const}$$

As proposal distribution, we choose:

$$\theta^{(p)} \sim \text{normal}(\theta^{(t)}, 0.5)$$

This means that we can write our posterior density ratio α as

$$\alpha = \frac{p(\theta^{(p)} | y)}{p(\theta^{(t)} | y)} = \frac{\prod_{i=1}^N p(y_i | \theta^{(p)})}{\prod_{i=1}^N p(y_i | \theta^{(t)})}.$$

On the log scale, this can be written as follows:

$$\log \alpha = \log p(\theta^{(p)} | y) - \log p(\theta^{(t)} | y) = \sum_{i=1}^N \log p(y_i | \theta^{(p)}) - \sum_{i=1}^N \log p(y_i | \theta^{(t)}).$$

- a) Implement the metropolis algorithm for data y and starting value $\theta^{(1)}$.
- b) Simulate a random dataset $\tilde{y}$ of $N = 200$ observations from the above likelihood with a true parameter value of $\theta^* = 2$. Compute the posterior $p(\theta | \tilde{y})$ with your metropolis implementation using 4 independent chains initialized from different starting values.
- c) Check whether your posterior samples from (b) have converged.
- d) Visualize the posterior samples and compare the obtained posterior with the ground truth parameter value $\theta^* = 2$.